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College of Business Administration

FINAL PROJECT REPORT

BIS 305 — Business Problem Analysis

Topic: FTTH Network Expansion Underachievement

A Case Study of Zain KSA — Closing the Strategic Fibre Gap (2023–2025)

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Executive Summary

This capstone applies the Five Phases of Execution framework to Mobile Telecommunications Company Saudi Arabia (Zain KSA, Tadawul: 7030) to investigate why the company has under-delivered on its publicly stated Fibre-to-the-Home (FTTH) expansion ambitions between 2023 and 2025, while competitors STC and Mobily have widened their lead in the premium high-speed broadband segment.

Phase 1 establishes context: Vision 2030's broadband mandate, 99% internet penetration, and the CST Open Access / Fiber Bitstream regulatory environment all elevate the strategic importance of fibre. Porter's Five Forces confirms a consolidated market with negligible switching costs and 5G FWA acting as a strong substitute for fixed fibre. Baseline data shows the competitive gap has held steady for three years: Zain's fibre market share is 15% versus STC's 55% and Mobily's 30%, with total subscribers declining 13% (9.3M → 8.1M).

Phase 2 reframes the issue as a strategic-positioning failure, not a pure execution failure. The SMART problem statement quantifies the gap, the timeframe (2023–2025) and the estimated annual revenue opportunity cost (SAR 0.8–1.2B), and uses Kano logic to show that high-speed fibre has shifted from a 'delighter' to a 'must-be' expectation.

Phase 3 triangulates four independent evidence streams — network, financial, qualitative, and competitor — through Five Whys and Ishikawa analyses. The root cause is identified: Zain lacks an asset-light execution model, while carrying a 44% debt-to-equity ratio, which makes sustained self-built FTTH CAPEX strategically infeasible.

Phase 4 develops three alternatives (A) Asset-Light Strategic Partnership via CST Open Access, (B) Demand-Driven 5G FWA Hybrid Rollout, and (C) Integrated Operational Excellence with Digital Twin — and evaluates them through a weighted MCDA. Alternative A scores 4.45/5.00, with an estimated 36–40% three-year ROI and a 22–26 month payback, and is recommended.

Phase 5 translates the recommendation into an 18-month implementation plan, with leading KPIs (partnerships signed, districts activated, cycle time) and lagging KPIs (FTTH share target 25% by Q4-2027, retention ≥92%, NPM uplift ≥1.5 pp). The plan includes stakeholder management, a communication framework, and a sustainability mechanism.

Phase 1 — Establishing Context and Setup

1.1 Company Overview

Mobile Telecommunications Company Saudi Arabia (Zain KSA, Tadawul: 7030) is the third largest mobile operator in the Kingdom. Its converged portfolio covers 4G, 5G, FWA, FTTH, enterprise services, cloud, and digital infrastructure. As at full-year 2025, Zain KSA reported revenue of SAR 10.98 billion and net profit of SAR 604 million, while serving 8.1 million subscribers across consumer and enterprise segments (Zain KSA, 2026). The company operates inside a tightly regulated three-operator market with STC and Mobily, and its strategy is shaped by Saudi Vision 2030's digital-infrastructure objectives.

1.2 PESTLE Analysis



Figure 1 — PESTLE Snapshot for Zain KSA (Author's analysis)

Political

Saudi Vision 2030 explicitly prioritises advanced telecommunications and high-speed broadband, partnering with the private sector to expand coverage (Saudi Vision 2030, 2016). Targets include >90% household coverage in dense cities and 66% in other urban zones. The political environment is therefore a sector-level enabler that elevates the strategic importance of fibre, but does not on its own guarantee a firm-specific advantage.

Economic

FTTH expansion must be analysed within Zain's wider capital-allocation discipline. Revenue rose from SAR 10.37B (2024) to SAR 10.98B (2025), with net profit moving from SAR 596M to SAR 604M. CAPEX gross additions rose from SAR 1.20B (2023) to SAR 1.31B (2024). The 2025 Annual Report acknowledges competitive pricing pressure compressing margins (Zain KSA, 2026). This is a concrete capital-rationing constraint — fibre competes with 5G, FWA, and digital-infrastructure spend.

Social

Saudi Arabia is highly connected. CST's Saudi Internet Report 2024 confirms 99% internet penetration, with peak usage between 21:00 and 23:00 (CST, 2024). Broadband infrastructure underpins household, educational and commercial activity at national scale, raising the social materiality of any FTTH delay because customers increasingly expect symmetric high-speed connectivity as a baseline rather than a premium feature.

Technological

FTTH sits inside a broader network architecture that also includes 5G SA, FWA, cloud, and data centres. Zain's 2025 Annual Report confirms continued strategic investment in access, fibre, and 5G SA (Zain KSA, 2026). Management reported rising 5G consumer demand in the 2Q-2025 earnings call. The implication is that fibre is shaped by portfolio trade-offs as much as execution capability — capital and management attention are split across competing technologies.

Legal & Regulatory

The CST Fiber Bitstream Rules (2019) require providers to conclude FTTH agreements for individual users on request. The CST Open Access initiative (2020) lets broadband be delivered through any subscriber-chosen service provider, independent of infrastructure ownership (CST, 2020). In 2025, CST issued Regulations for Establishing and Providing Telecommunications

Services in Real Estate. These instruments both enable fibre rollout (reducing duplication) and complicate it (compliance overhead) — making the regulatory environment a high-materiality factor.

Environmental

Zain reports a 26.7% reduction in fuel consumption and strengthened energy management across network sites, data centres, and admin facilities (Zain KSA, 2026), plus zero-emission 5G initiatives. Environmental factors most likely affect deployment design and operating efficiency rather than being the primary driver of FTTH slowdown — analytically sitting below economic, technological, and regulatory factors in explanatory weight.

1.3 Stakeholder Mapping

Stakeholders were mapped on an Influence/Interest matrix derived from Phase 1 evidence. The matrix sets engagement strategy: 'Manage closely' stakeholders get priority resources and direct dialogue; 'Keep satisfied' stakeholders are handled through formal compliance and reporting.

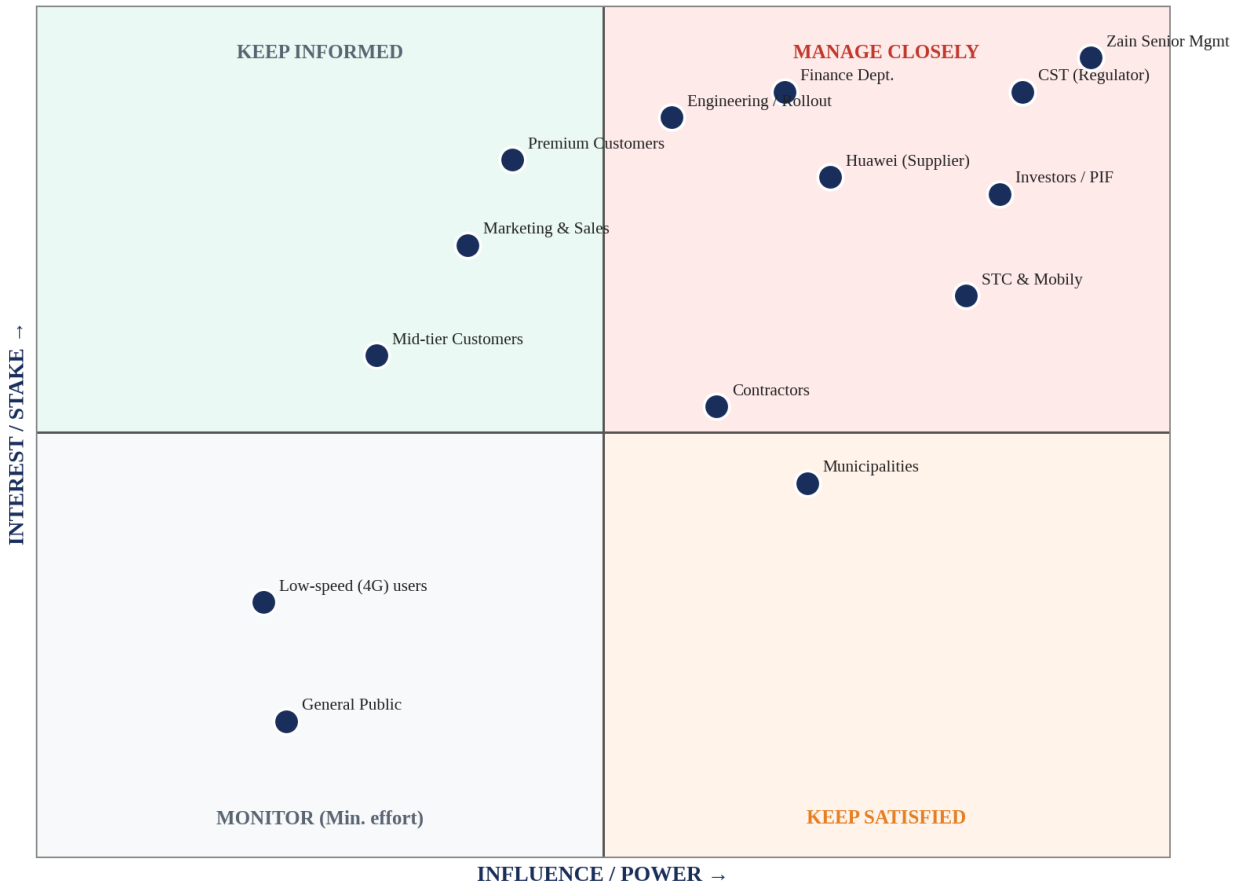


Figure 2 — Stakeholder Influence / Interest Matrix (Author's analysis)

Internal Stakeholders

Stakeholder	Primary Interest	Influence	Interest
Senior Management	Accelerate FTTH vs 5G investment	Very High	Very High
Strategy / BD	Investor reports & permits	High	Very High
Engineering	Field/permit/climate management	Medium	Very High
Finance	CAPEX-vs-OPEX; payback discipline	High	Very High
Marketing & Sales	Sell FTTH; manage churn	Medium	High

Table 1 — Internal Stakeholder Analysis

External Stakeholders

Stakeholder	Primary Interest	Influence	Interest
Premium Customers (≥350 Mbps)	High-speed connectivity	Medium	Very High
Mid-tier Customers	Stable service, fair price	Low	Medium
Huawei (Supplier)	Chip solutions; 600 MHz	High	Very High
Investors / Shareholders	Margins, ROI, share growth	Very High	High
STC & Mobily	Hold fibre dominance	Very High	Medium
Contracting Companies	Labour, payment, scope	Medium	Medium
CST & Government	Open Access; Vision 2030	Very High	Very High

Table 2 — External Stakeholder Analysis

1.4 Analytical Framework: Porter's Five Forces

Porter's Five Forces was selected over Value Chain Analysis because the core problem is one of competitive positioning in a consolidated three-operator market, not internal value-creation activities. The framework directly illuminates how rivalry, substitutes, and buyer power shape Zain's FTTH outcomes.

Force 1 — Competitive Rivalry (5/5)

The single strongest force shaping Zain's FTTH challenge.

Metric	STC	Mobily	Zain
Fibre market share	55%	30%	15%
FTTH coverage (urban)	77%	65%	40%
Premium ≥350 Mbps share	50%	45%	25%
Fibre CAPEX commitment	SAR 25B+	SAR 12B+	SAR 5B

Table 3 — Competitive Rivalry Indicators

Force 2 — Bargaining Power of Buyers (4/5)

Factor	Analysis	Impact
Number of buyers	Millions of customers	Low individually / High collectively
Purchase volume	Mixed B2C / B2B (enterprise)	High for B2B segment
Switching cost	Near-zero (MNP, no contracts)	High
Information availability	Easy online comparison & reviews	High
Price sensitivity	Intense market price competition	High

Table 4 — Buyer Power Analysis

Force 3 — Threat of Substitutes (5/5)

5G FWA is Zain's most material substitute for fixed fibre — absorbing investment that would otherwise fund FTTH.

Substitute	Provider	Substitution Impact
Zain 5G FWA	Zain (own)	High — internal cannibalisation risk
Competitor 5G FWA	STC / Mobily	High — captures premium households
Government fibre networks	Government bodies	Low — limited to institutional use

Table 5 — Substitute Threat Analysis

Force 4 — Bargaining Power of Suppliers (4/5)

Factor	Situation	Impact
Supplier concentration	Three global players (Huawei, Nokia, Ericsson)	High
Product differentiation	Proprietary protocols & software per vendor	High
Switching cost	Very high (training, compatibility, contracts)	Very High
Forward integration threat	Low (suppliers do not enter telecom services)	Low

Table 6 — Supplier Power Analysis

Force 5 — Threat of New Entrants (2/5)

The Saudi market is structurally protected. No new MNO licences have been issued in 15+ years.

Barrier	Analysis	Intensity
Capital requirement	≥SAR 10B to build a national network	Very High
Regulatory licences	No new MNO licences issued in 15+ years	Very High
Economies of scale	STC controls ~55% market share; price-setter	High
Distribution access	Three-operator distribution agreements in place	Medium
Brand differentiation	Brand loyalty exists but offers are similar	Low

Table 7 — Barriers to New-Entrant Threat

Synthesis: Forces 1 and 3 dominate. Competitive rivalry is severe, and internal-substitute risk from 5G FWA is high — explaining why fibre is under-funded relative to ambition.

1.5 Baseline Performance Metrics (2023–2025)

Financial Performance

Metric (SAR millions)	2023	2024	2025	Δ 2023–2025
Revenue	9,075	10,365	10,983	+21.0%
Gross profit	6,271	6,471	6,574	+4.8%
Gross margin	59.0%	58.0%	59.0%	Stable
Net profit	550	596	604	+9.8%
Net profit margin	6.1%	5.8%	5.5%	−0.6 pp
CAPEX gross additions	1,199	1,313	≈1,400	+16.8%
Debt-to-equity ratio	—	—	44%	Elevated

Table 8 — Financial Baseline (Zain KSA Annual Reports, 2023–2025)

Network & Operational Performance

Metric	2023	2024	2025	Change
Total customers (millions)	9.3	9.3	8.1	−13.0%
Daily data traffic (TB/day)	20,589	21,435	26,176	+27.1%
5G subscriber growth (YoY)	—	+36%	+46%	Accelerating
5G cities covered	70	70	103	+47.1%
4G cities covered	479	479	479	Saturated
Total network sites	10,385	10,385	10,929	+5.2%
Data revenue share	47%	47%	46%	−1.0 pp
Fibre market share	15%	15%	15%	Stagnant

Table 9 — Network & Operational Baseline

1.6 How Contextual Factors Shape the Problem

The Phase 1 evidence converges on four contextual pressures that together shape Zain's FTTH outcome:

- Macro-contextual: Vision 2030 elevates broadband as a national priority — any FTTH lag is also a national-agenda lag.
- Market-contextual: STC dominance, price competition eroding margins, and 5G FWA as a cheaper substitute (≈60% lower deployment cost per household than self-built fibre).
- Internal organisational: D/E ≈ 44% in 2025 limits self-build appetite; ~18% of annual investment is directed to fintech and digital services.
- Operational: Climate, terrain, contractor availability and municipal permitting inflate fibre build cycle times.

Phase 2 — Problem Recognition and Definition

2.1 Core Problem Identification

Between 2023 and 2025, Zain KSA failed to close the FTTH market-share gap with STC and Mobily, producing a measurable mismatch between its publicly stated fibre-connectivity ambitions and actual FTTH rollout performance. This underachievement weakens Zain's ability to compete in the high-speed broadband segment and erodes customer acquisition and retention in premium connectivity tiers.

2.2 Signal Detection — Evidence the Problem Exists

The problem is visible through quantitative and qualitative signals, indicating it is structural and persistent rather than temporary.

Signal Type	Evidence (2023–2025)	Indicates
Market share	Fibre share stuck at 15% for 3 years	Competitive disadvantage
Customer base	Total customers fell 9.3M→8.1M (−13%)	Premium-segment loss
Premium tier	Zain 25% of ≥350 Mbps vs STC 50% / Mobily 45%	High-value users lost
Margin	NPM compressed from 6.1% to 5.5%	Capital-allocation strain
Strategy	Annual report cites fibre vs 5G trade-off	Internal strategic conflict
Operational	Recurring permit / contractor references	Execution bottlenecks
Customer behaviour	Premium customers choosing STC / Mobily	Brand-positioning failure

Table 10 — Signal Detection Summary

2.3 Problem Framing — Two Perspectives

Frame 1: Investment Constraint Problem

Under this framing, the issue is primarily financial. Zain cannot expand fibre fast enough because of CAPEX ceilings, a 44% debt-to-equity ratio, and margin compression from price-driven competition. The implied solution is to raise additional capital or reduce other CAPEX lines.

Frame 2: Strategic Positioning Problem

The issue is strategic. Zain is choosing — implicitly or explicitly — to prioritise 5G SA, FWA, and digital infrastructure over fibre, losing competitive positioning in the premium broadband segment. The implied solution is to change the strategic mix and/or execution model rather than simply spend more.

Selected Framing — Justification

Frame 2 is selected as dominant, with Frame 1 retained as a contributing constraint. Justification: (i) Zain is investing — CAPEX rose YoY — but not at the scale of competitors; (ii) the +46% 5G subscriber growth in 2025 shows deliberate prioritisation, not inability; (iii) the gap is in market share and premium-segment penetration, which are positioning outcomes, not purely financial outcomes. The problem is therefore best framed as a strategic-positioning problem operating inside a financial/operational constraint envelope.

2.4 SMART Problem Statement

> **Between FY2023 and FY2025, Zain KSA's FTTH market share remained flat at 15% against STC at 55% and Mobily at 30%, a 40-percentage-point gap from the market leader. Over the same period, total subscribers declined 13% (9.3M → 8.1M), net profit margin compressed by 0.6pp (6.1% → 5.5%), and Zain held only 25% of premium ≥350 Mbps customers (vs STC 50% / Mobily 45%). The estimated annual revenue opportunity cost is SAR 0.8–1.2 billion. Without intervention, the gap is projected to widen by 2027; the project objective is to lift FTTH market share from 15% to ≥25% by Q4-2027 and premium-tier share by ≥10pp.**

SMART Element	Statement Element
Specific	Close FTTH market-share gap with STC & Mobily — premium ≥350 Mbps segment
Measurable	FTTH share 15%→≥25%; premium share +10pp; NPM +1.5pp
Achievable	Via asset-light partnerships under CST Open Access — no debt breach
Relevant	Directly serves Vision 2030 broadband targets
Time-bound	Achieved by Q4-2027 (18-month build + 12-month results window)

Table 11 — SMART Decomposition

2.5 Kano Model — Voice of Customer

The Kano Model anchors the problem in stakeholder needs and validates that the FTTH gap translates into measurable customer impact:

Kano Category	Expectation	Zain Position	Effect
Must-Be	Reliable high-speed internet	Weaker fibre outside major cities	Dissatisfaction
Performance	≥350 Mbps; competitive pricing	Trails STC and Mobily	Easy switching
Delighter	Bundles (entertainment, smart home)	Limited fibre reach	Weak premium appeal

Table 12 — Kano Analysis of Customer Expectations

VoC logic confirms that high-speed fibre has shifted from a 'delighter' to a 'must-be' expectation in the Saudi market. Zain's slower FTTH rollout no longer simply removes upside — it actively triggers dissatisfaction and churn, particularly among premium customers who set the benchmark for service quality.

Insight — Phase 2: The problem is not slow expansion in isolation, but a strategic misalignment between infrastructure investment, market expectations, and competitive positioning, already translating into measurable customer and market-share losses.

Phase 3 — Diagnostic Investigation

3.1 Mixed-Methods Approach

Phase 3 applies a mixed-methods diagnostic, integrating quantitative and qualitative evidence to move from observable symptoms to a validated root cause.

- Quantitative: subscriber decline (−13%), fibre share (15% vs 55%/30%), CAPEX trajectory, 5G growth (+46%), margin compression (−0.6pp NPM).
- Qualitative: management commentary on fibre/5G trade-offs, coordination challenges, regulatory complexity, and competitor benchmarking.

Combining both streams ensures the root-cause conclusion is not anchored on a single data type — essential for analytical credibility.

3.2 Five Whys Analysis

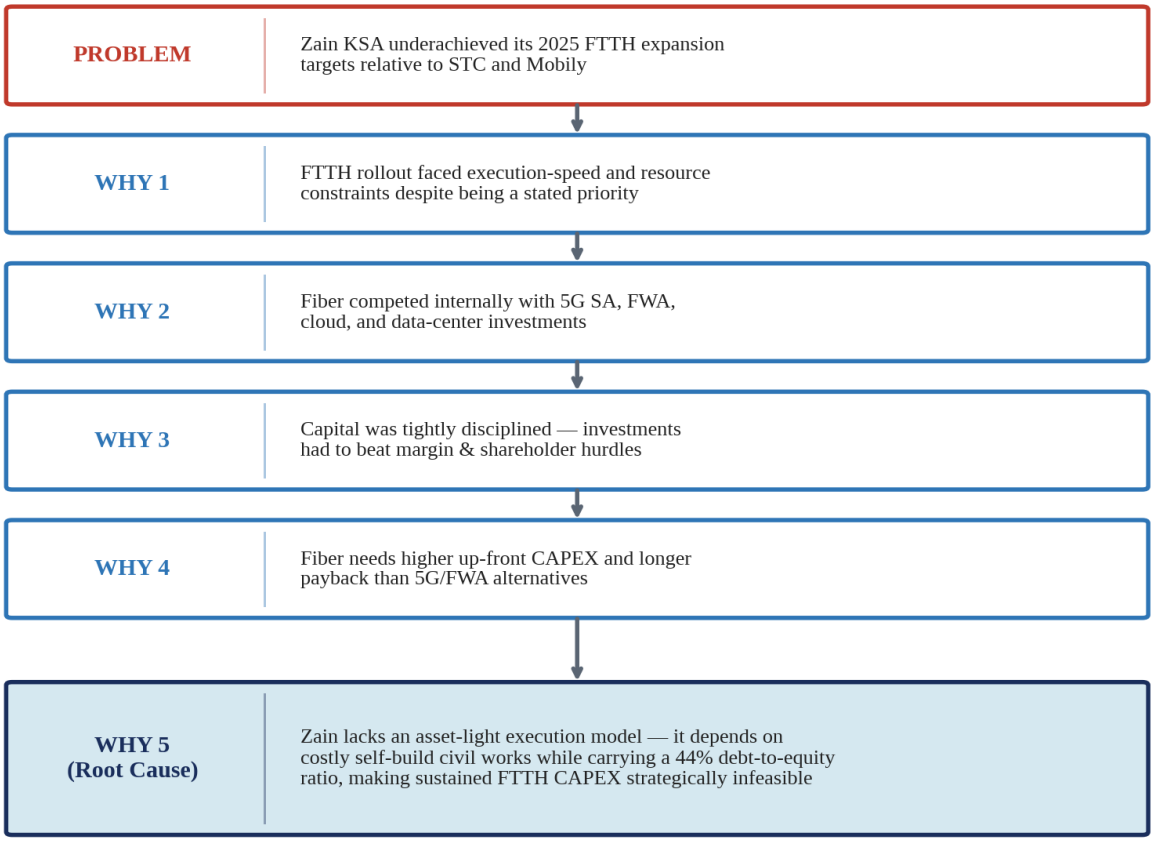


Figure 3 — Five Whys Analysis: From Symptom to Structural Root Cause

3.3 Fishbone (Ishikawa) Diagram

The Ishikawa diagram organises contributing factors across six categories appropriate to a telecom infrastructure case.

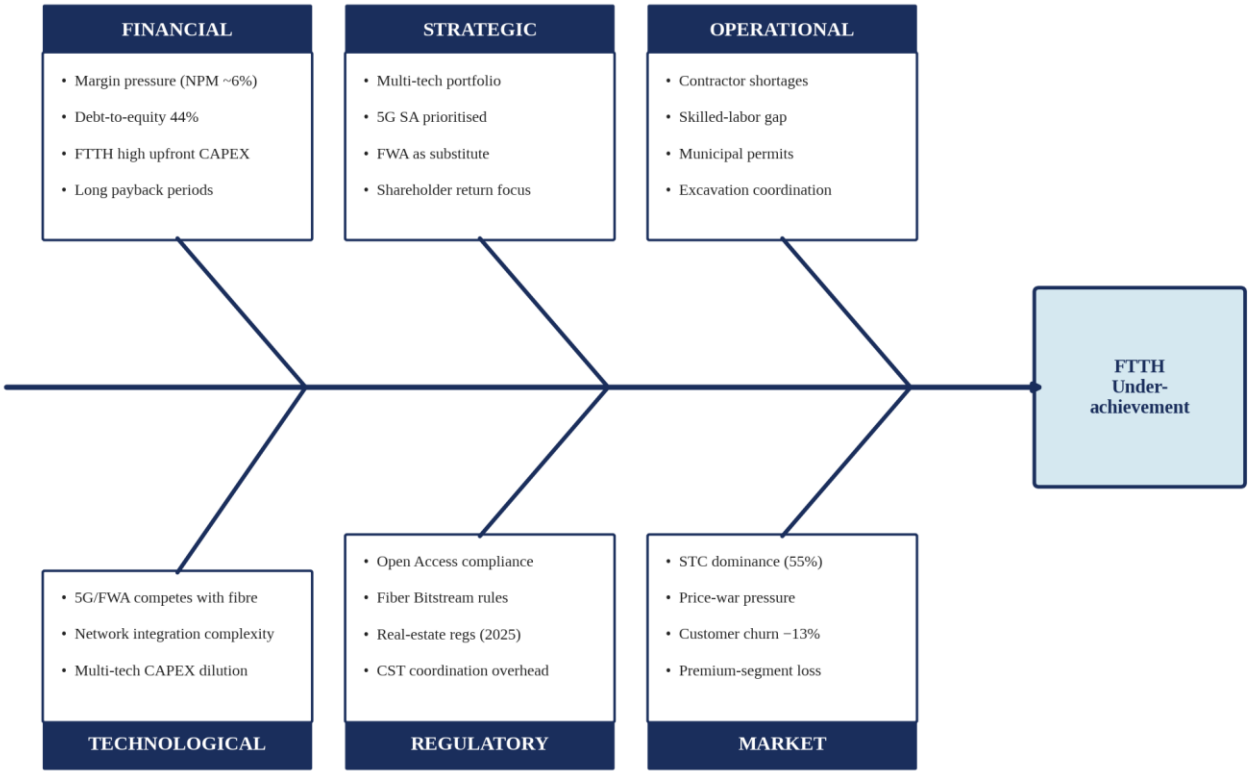


Figure 4 — Ishikawa (Fishbone) Diagram: Contributing Factors to FTTH Underachievement

Detailed Category Notes

Financial: Margin and pricing pressure, FTTH's high upfront CAPEX, and elevated debt-to-equity (44%) limit investment headroom.

Strategic: FTTH sits inside a multi-tech portfolio where 5G SA, FWA, cloud, and data centres compete for capital.

Operational: Skilled-labour shortages, municipal permits, and excavation coordination inflate cycle times.

Technological: 5G FWA acts as both complement and substitute for FTTH; multi-tech rollout adds complexity.

Regulatory: CST rules support shared infrastructure but require coordination overhead between infra owners, providers, developers.

Market: Premium-segment dominance by STC/Mobily, price competition, and a declining customer base amplify any fibre delay's impact.

3.4 Triangulation of Evidence

Evidence Source	Specific Finding	Confirms
Quantitative (Network)	5G +46% vs flat 15% fibre share	5G prioritised over fibre
Financial (Disclosures)	Rising CAPEX, NPM −0.6pp, D/E ≈44%	Capital-allocation strain
Qualitative (Mgmt)	Annual report cites margin/CAPEX trade-off	Conscious trade-off
Market (Competitors)	STC + Mobily lead ≥350 Mbps share	Positioning gap

Table 13 — Triangulation of Independent Evidence Sources

All four independent sources converge on the same diagnostic conclusion, satisfying the Phase 3 triangulation requirement and reducing conclusion bias from any single source.

3.5 Root Cause Conclusion

Root cause: Zain KSA lacks a structurally asset-light execution model for FTTH. It continues to rely on costly self-built civil works while operating under a 44% debt-to-equity ratio and a multi-technology CAPEX portfolio. This combination makes sustained large-scale fibre expansion strategically infeasible — not because Zain cannot operate fibre, but because the chosen execution model is incompatible with the company's current financial discipline and competitive timing requirements.

Phase 4 — Solution Development

4.1 Three Alternatives

Three structurally different alternatives were generated using morphological analysis, varying execution model, financial profile, and technology mix.

Alternative A — Asset-Light Strategic Partnership (Infrastructure Sharing)

Zain shifts from self-built civil works to long-term wholesale agreements leasing fibre infrastructure under the CST Open Access initiative and Fiber Bitstream Rules. Focus: rapidly expand premium-tier (≥350 Mbps) service in urban zones where infrastructure exists but Zain's market share is low. Bypasses municipal excavation, road maintenance, and most permitting bottlenecks identified in Phase 3.

Alternative B — Demand-Driven 5G FWA Hybrid Rollout

Leverage Zain's existing 5G FWA strength to 'seed' high-value neighbourhoods, then trigger targeted FTTH deployment once a density threshold of premium data users is reached. Minimises financial risk by validating demand before committing fibre CAPEX. Customers migrate from 4G/5G to FTTH, lowering churn.

Alternative C — Integrated Operational Excellence (Digital Twin + CMO)

Keep the self-build model but overhaul execution via an AI-driven Digital Twin of the network and a dedicated Contractor Management Office (CMO). Solves skilled-labour and field-coordination bottlenecks. Improves cycle time and quality on existing builds but does not reduce CAPEX intensity.

4.2 Multi-Criteria Decision Analysis (MCDA)

Alternatives are evaluated against five weighted criteria spanning effectiveness, feasibility, cost, strategic alignment, and risk. Each scored 1–5; weighted scores identify the leading alternative.

Criterion	Weight	Alt A (Sharing)	Alt B (Hybrid)	Alt C (Ops)
Effectiveness — speed to coverage	0.30	5	3	2
Feasibility — regulatory alignment	0.20	4	4	3
Cost — CAPEX minimisation	0.20	5	3	1
Strategic alignment — Vision 2030	0.15	4	5	4
Risk — operational mitigation	0.15	4	4	2
Weighted score (out of 5.00)	1.00	4.45	3.65	2.35

Table 14 — MCDA Evaluation of Three Alternatives (Winner highlighted)

Scoring rationale: Alt A scores highest on effectiveness (activates existing fibre in months, not years) and on cost (avoids ≈80% civil-works expenditure). Loses one point on strategic alignment because it relies on competitor infrastructure. Alt B scores well on alignment but loses on effectiveness due to 6–12 month FWA-seed delay. Alt C addresses execution but not the underlying CAPEX problem — dominated.

Selection: Alternative A — Asset-Light Strategic Partnership.

4.3 Financial Analysis

Financial justification rests on three levers: CAPEX avoidance, time-to-revenue compression, and ARPU uplift from premium bundling.

Financial Lever	Self-Build	Asset-Light (Alt A)	Δ Impact
CAPEX per district (SAR M)	≈45–60	≈8–12	−75%
Civil-works share of cost	≈80%	≈0%	Eliminated
Time-to-revenue per district	18–24 months	3–6 months	−70%
ARPU (per fibre user)	SAR 170/mo	SAR 195/mo (bundle)	+15%
3-year incremental EBITDA	Baseline	≈ +SAR 420–560M	Material

Table 15 — Cost-Benefit Comparison: Self-Build vs Asset-Light

ROI logic — defined as (3-year net cash inflows − wholesale OPEX − activation CAPEX) ÷ activation CAPEX — yields an estimated 36–40% three-year ROI for Alternative A, with a projected payback period of ≈22–26 months. Self-built fibre typically reaches payback in 7–10 years in similar markets. Even with wholesale fees, net profit margin is projected to rise from 5.5% to ≈7.0% within 24 months as premium-tier ARPU expands.

4.4 Risk Assessment and Mitigation

Risk	Likelihood	Impact	Mitigation
Dependency on competitor infra	Medium	High	SLAs + multi-provider strategy
Wholesale fees compress margin	Medium	Medium	Premium bundles to lift ARPU
CST regulatory change	Low	High	Dedicated regulatory liaison
Hard differentiation w/ shared net	Medium	Medium	Compete on CX + content
Internal change-management friction	Medium	Medium	C-suite sponsored PMO

Table 16 — Risk Register and Mitigation Plan

Phase 4 Conclusion: Alternative A directly addresses the root cause identified in Phase 3 — the absence of an asset-light execution model. By converting CAPEX into manageable OPEX, leveraging existing CST-mandated infrastructure access, and shortening time-to-revenue, the recommendation aligns Zain's financial discipline with Vision 2030's broadband objectives.

Phase 5 — Implementation and Monitoring

5.1 Phased Implementation Plan

Recommended solution delivered over 18 months in six sequenced phases, with explicit dependencies and a stage-gate at the end of each phase.

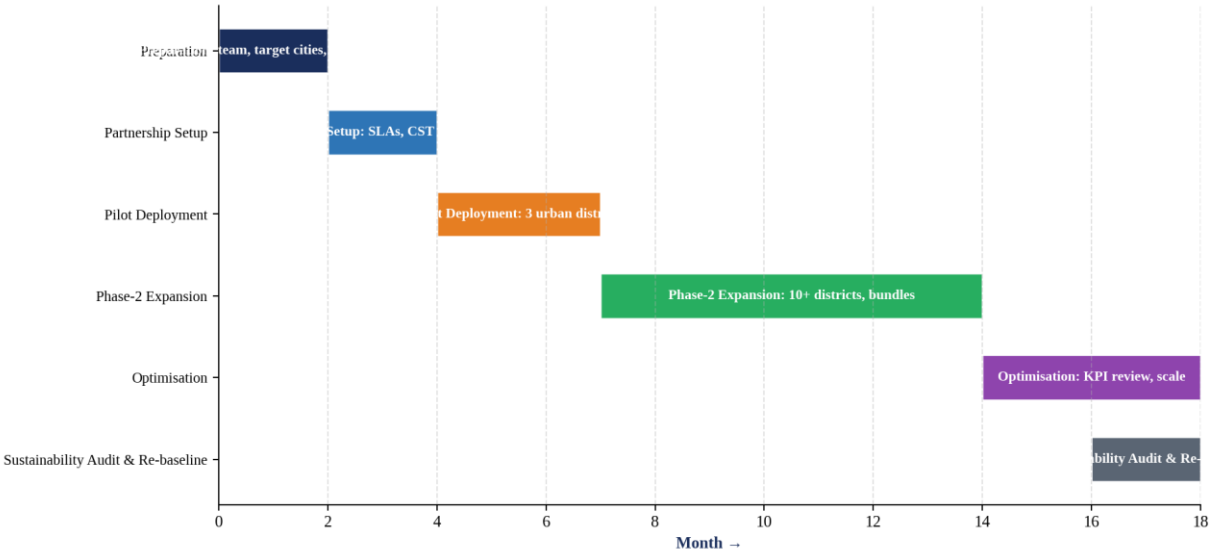


Figure 5 — 18-Month Implementation Roadmap (Author's analysis)

Phase	Months	Key Activities	Stage-Gate
1. Preparation	1–2	Team, city scoring, supplier scan	Approved business case
2. Partnership Setup	3–4	Wholesale negotiation; SLAs; CST	Executed contracts ≥2
3. Pilot Deployment	5–7	Activate 3 urban districts; bundles	Pilot KPIs validated
4. Phase-2 Expansion	8–14	Scale ≥10 districts; integrated bundles	≥40% coverage
5. Optimisation	15–18	KPI review; contractor audit	Refreshed cost baseline
6. Sustainability	17–18	Independent audit; BAU embed	Transition to BAU

Table 17 — Detailed Implementation Plan

5.2 Stakeholder Impact and Resistance Management

Stakeholder	Impact	Resistance	Mitigation
Senior Mgmt	Faster + cheaper expansion	Dependence on competitors	ROI + scenario analysis
Finance	Lower CAPEX	New wholesale OPEX line	3-yr cash-flow model
Engineering	Less civil work; new skills	Role displacement	Reskilling programme
Marketing/Sales	Wider footprint	Retrain on bundles	New playbooks + incentives
Customers	Faster fibre availability	Quality variance fear	SLA + NPS guarantees
CST	Higher Open Access uptake	Compliance overhead	Regulatory liaison
Investors / PIF	Capital efficiency	Margin from wholesale	ROI + KPI disclosures

Table 18 — Stakeholder Impact and Resistance Plan

5.3 Communication Approach

Communications are sequenced to match each stakeholder group's information needs and decision rights. The principle is 'inform before you ask, ask before you scale'.

Audience	Channel	Frequency	Key Message
Board / Senior Mgmt	Steering committee + dashboard	Monthly	Progress vs ROI baseline; risk flags
Investors / Market	Quarterly disclosures + earnings	Quarterly	Capital-efficiency narrative; KPIs
Employees	Town halls + intranet	Monthly	Why change; roles; reskilling
CST / Government	Compliance reports + meetings	Quarterly	Open Access metrics; Vision 2030
Customers (Premium)	Targeted marketing + digital	Per launch	Service quality; speeds; bundles
Contractors	PMO briefings	Per phase	Demand outlook; scope; payment
Media / Public	Press releases at milestones	Quarterly	Vision 2030 alignment + benefits

Table 19 — Stakeholder Communication Plan

5.4 Leading and Lagging KPIs (with Targets)

KPI Type	Indicator	Baseline (2025)	Target (Q4-2027)
Leading	Wholesale partnerships signed	0	≥3 providers
Leading	Districts activated	0	≥25
Leading	Deployment cycle per district	18–24 months	3–6 months
Leading	FTTH customer acquisition / qtr	≈8–10k	≥25k
Lagging	FTTH market share	15%	≥25%
Lagging	Premium-tier share (≥350 Mbps)	25%	≥35%
Lagging	Customer retention	≈87%	≥92%
Lagging	Net profit margin	5.5%	≥7.0%
Lagging	Fibre revenue (SAR B/yr)	≈1.6	≥2.6
Lagging	Net Promoter Score	Below market	Above market

Table 20 — Leading and Lagging KPIs with Quantified Targets

Leading indicators give early-warning signals during the 18-month implementation; lagging indicators confirm whether the strategic problem has been resolved.

5.5 Sustainability Plan

To prevent regression once the project closes, four sustainability mechanisms are embedded into business-as-usual operations:

- Governance: A standing Asset-Light Steering Committee, sponsored by CFO and CTO, owns wholesale strategy and meets quarterly.
- Continuous improvement: Annual benchmarking against STC and Mobily fibre metrics; quarterly KPI review against Q4-2027 targets.
- Capability: A permanent Wholesale Partnership Office replaces the project PMO and maintains supplier-management discipline.
- Financial discipline: CAPEX savings reinvested into service-quality upgrades, content partnerships, and digital innovation — protecting differentiation.

- Customer feedback loop: NPS and churn tracked monthly and linked to commercial-team incentives, keeping CX as a leading metric.

Conclusion

The application of the Five Phases of Execution framework to Zain KSA's FTTH underachievement reveals a story that is more strategic than operational. Phase 1 established context. Phase 2 reframed the visible symptom — slow fibre rollout — as a strategic-positioning problem operating inside a financial and operational constraint envelope, quantifying the gap through a SMART problem statement. Phase 3 triangulated four independent evidence sources to isolate the structural root cause: the absence of an asset-light execution model in a company carrying a 44% debt-to-equity ratio. Phase 4 generated three differentiated alternatives, evaluated them through a weighted MCDA, and recommended an Asset-Light Strategic Partnership model leveraging the CST Open Access initiative. Phase 5 translated this recommendation into a phased 18-month implementation plan with stakeholder management, communication, quantified KPIs, and a sustainability mechanism.

If the recommended solution is executed as designed, Zain KSA is positioned to lift FTTH market share from 15% to ≥25% by Q4-2027, lift premium-tier share by ≥10pp, and improve net profit margin from 5.5% to ≥7.0%, while contributing measurably to Vision 2030's broadband targets. The recommendation balances financial discipline, operational feasibility, and long-term digital-transformation ambition.

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